



India's Semiconductor Gold Rush: Where Are Investors Placing Their Bets?

Beyond manufacturing, India's semiconductor ecosystem is attracting a new wave of investors. Which parts of the value chain are drawing the most capital, and where do the biggest opportunities lie? An expert explains.



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India's semiconductor ambitions have largely centred on fabrication plants, assembly and packaging facilities, and government incentives aimed at reducing dependence on imported chips. While these remain central to the country's long-term strategy, another transformation is gathering pace. Investors, private equity firms, venture capital funds, and multinational semiconductor companies are increasingly looking beyond manufacturing towards India's growing strengths in proprietary technologies, intellectual property (IP), and partnerships.

"The semiconductor sector is currently one of the most dynamic industries globally, and India is entering a particularly important phase of its development," says Gaurav Asthana. He believes that the industry has reached

an inflection point, driven by global supply chain shifts, government support, and rising domestic demand.

Why India is emerging as a semiconductor investment hub

Several structural factors are driving global investor interest in India's semiconductor sector. The ongoing 'China Plus One' strategy, geopolitical tensions, and supply chain diversification have positioned India as a favourable investment destination.

Government initiatives such as the India Semiconductor Mission (ISM), the Design Linked Incentive (DLI) scheme, and the proposed ISM 2.0, which is yet to be approved by the Cabinet, have further boosted investor confidence by supporting domestic capability development.

"Developing a semiconductor